

TATA CONSULTANCY SERVICES LIMITED

Financial Modeling & Valuation Report

(Discounted Cash Flow (DCF) valuation & Comparable Company Analysis)



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Financial Modeling Portfolio Project



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1.EXECUTIVE SUMMARY

Executive Summary

This report presents a comprehensive financial modeling and valuation analysis of Tata Consultancy Services Limited (TCS). The valuation has been performed using the Discounted Cash Flow (DCF) Method and Comparable Company Analysis to estimate the company's intrinsic value and assess its current market valuation.

TCS is one of India's largest IT services and consulting companies with a strong global presence, diversified service portfolio, and consistent financial performance. The company has demonstrated stable revenue growth, healthy operating margins, and strong free cash flow generation over the years.

Based on the financial model developed in this report, future financial statements were projected using reasonable assumptions related to revenue growth, operating margins, capital expenditure, depreciation, working capital, and taxation. The projected free cash flows were discounted using the Weighted Average Cost of Capital (WACC) to estimate the intrinsic value of the company.

The DCF valuation indicates that the intrinsic value per share is higher than the current market price, suggesting that the stock appears **undervalued** under the assumptions used in this analysis. The Comparable Company Analysis also supports the valuation by comparing TCS with leading peer companies in the IT services industry.

Overall, TCS continues to demonstrate strong fundamentals, sustainable cash flow generation, and long-term growth potential. Based on the valuation results and financial analysis, the company presents a positive long-term investment opportunity.

2.COMPANY OVERVIEW

2.1Introduction

Tata Consultancy Services Limited (TCS) is one of the world's leading Information Technology (IT) services, consulting, and business solutions companies. It is a part of the Tata Group, one of India's largest and most respected business conglomerates. Since its establishment, TCS has built a strong global presence by delivering innovative technology solutions and digital transformation services to clients across various industries.

The company provides a wide range of services, including IT consulting, application development, cloud computing, artificial intelligence (AI), cybersecurity, data analytics, enterprise solutions, and business process outsourcing (BPO). TCS serves customers in industries such as banking, financial services, insurance, retail, healthcare, manufacturing, telecommunications, and energy.

2.2Company Profile

Particulars	Details
Company Name	Tata Consultancy Services Limited
Founded	1968
Headquarters	Mumbai, Maharashtra, India
Industry	Information Technology Services
Stock Exchange	NSE & BSE
NSE Symbol	TCS
Parent Company	Tata Sons
CEO	K. Krithivasan
Employees	600,000+ (Approx.)
Global Presence	55+ Countries

2.3 Business Segments

TCS operates through multiple service lines, including:

- IT Services
- Consulting Services
- Cloud Computing
- Artificial Intelligence & Data Analytics
- Cybersecurity
- Enterprise Solutions
- Business Process Services (BPS)

2.4 Competitive Strengths ☐

- Strong global brand supported by the Tata Group.
- Diversified client base across multiple industries.
- Consistent revenue growth and profitability.
- Strong operating cash flows and healthy balance sheet.
- Leadership in digital transformation and cloud services.

2.5 Key Competitors

- Infosys Limited
- Wipro Limited
- HCLTech
- Tech Mahindra
- LTIMindtree

3.INDUSTRY ANALYSIS

3.1 Industry Overview

The Information Technology (IT) services industry is one of the fastest-growing sectors in the global economy. The industry plays a crucial role in enabling digital transformation, cloud computing, artificial intelligence (AI), cybersecurity, data analytics, and enterprise technology solutions. Organizations across industries increasingly rely on IT service providers to improve operational efficiency, customer experience, and business innovation.

India has established itself as a global leader in IT services due to its skilled workforce, cost competitiveness, and strong technology ecosystem. Indian IT companies generate a significant share of their revenue from international markets, particularly North America and Europe.

3.2 Industry Growth Drivers

The major factors driving the growth of the IT services industry include:

- Increasing adoption of cloud computing and digital transformation.
- Rising demand for artificial intelligence (AI) and automation.
- Growth in cybersecurity investments.
- Expansion of data analytics and business intelligence solutions.
- Higher technology spending by global enterprises.
- Increasing demand for outsourcing and managed IT services.

3.3 Industry Challenges

Despite strong growth prospects, the IT industry faces several challenges:

- Intense competition among global IT service providers.
- Currency exchange rate fluctuations.
- Economic slowdowns affecting client IT spending.
- Rapid technological changes requiring continuous innovation.
- Talent acquisition and employee retention challenges.

3.4 Competitive Landscape

TCS competes with several leading IT service providers in India and globally. The company's major competitors include:

- Infosys Limited
- HCL Technologies
- Wipro Limited
- Tech Mahindra

- LTIMindtree
- Accenture (Global)

TCS maintains a strong competitive position through its global client base, diversified service portfolio, strong brand reputation, and consistent financial performance.

3.5 Industry Outlook

The long-term outlook for the IT services industry remains positive, supported by increasing digital transformation initiatives, cloud adoption, artificial intelligence, and enterprise technology investments. TCS is well positioned to benefit from these industry trends due to its strong market presence, technological capabilities, and long-standing client relationships.

4. Historical Financial Analysis

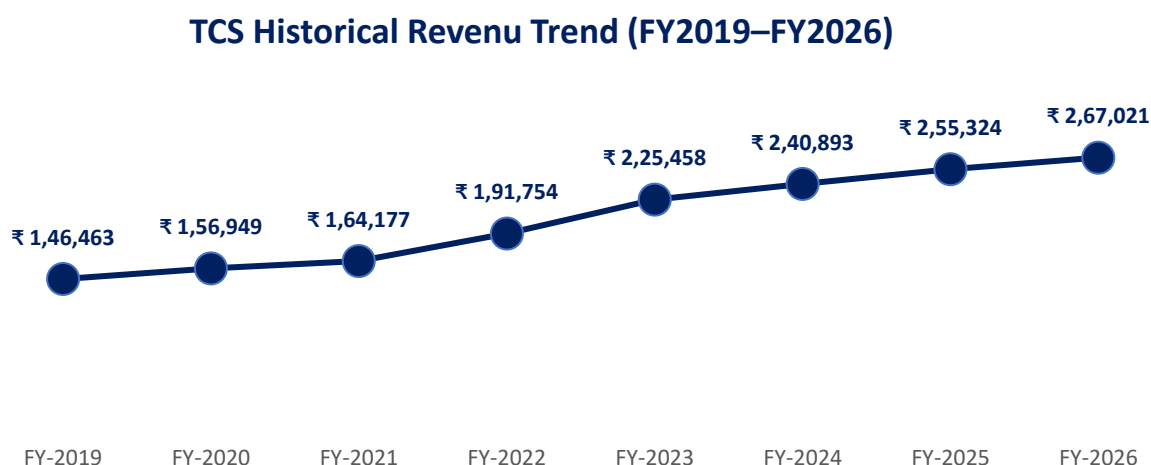
4.1 Revenue Analysis

Tata Consultancy Services (TCS) has demonstrated consistent revenue growth over the historical period, reflecting the company's strong market position and diversified business model. Revenue increased from ₹146,463 crore in FY2019 to ₹267,021 crore in FY2026, representing significant growth over the analysis period.

The company experienced strong growth during FY2022 and FY2023, primarily driven by increasing demand for digital transformation, cloud computing, consulting, and enterprise technology services. Although the annual growth rate moderated in FY2024–FY2026, TCS continued to deliver stable revenue growth despite global economic uncertainty and changes in client technology spending.

The steady increase in revenue indicates the company's ability to expand its client base, maintain long-term customer relationships, and generate recurring business from global enterprises. This historical performance provides a reliable foundation for forecasting future revenues in the financial model.

Overall, TCS has maintained a resilient revenue growth trajectory, highlighting the strength of its business operations and its ability to create sustainable long-term value for shareholders.



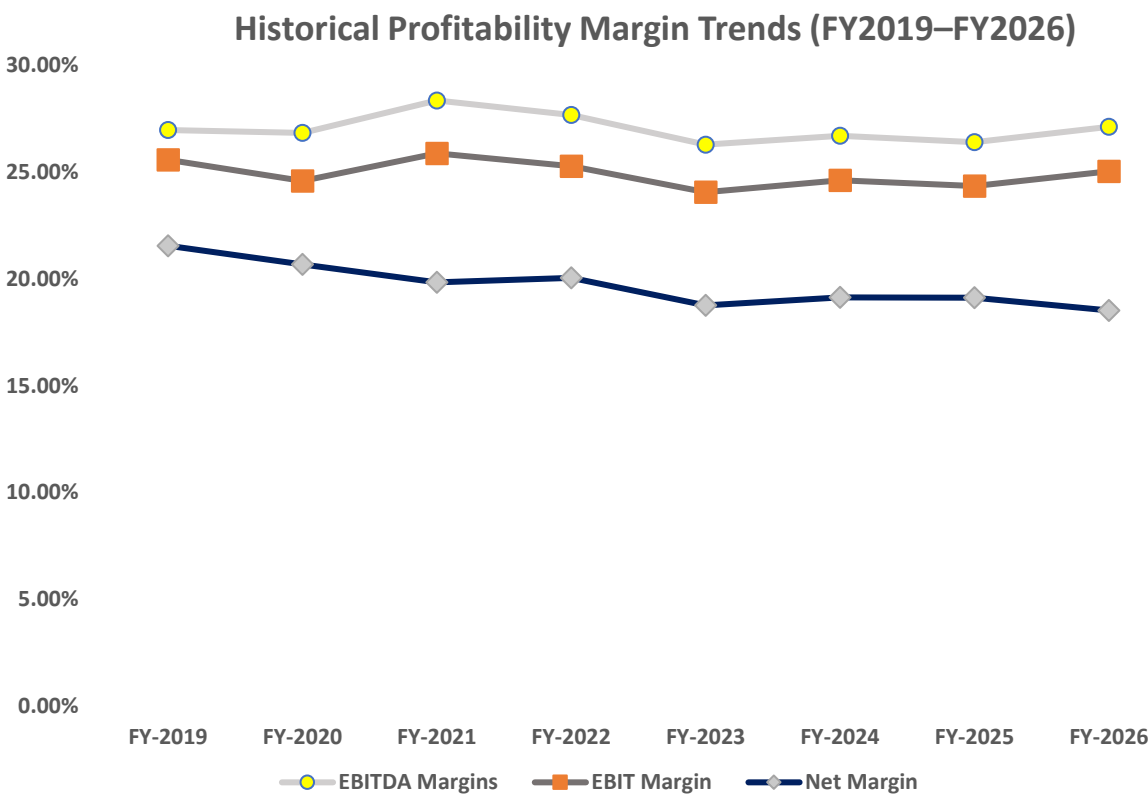
4.2 Profitability Analysis

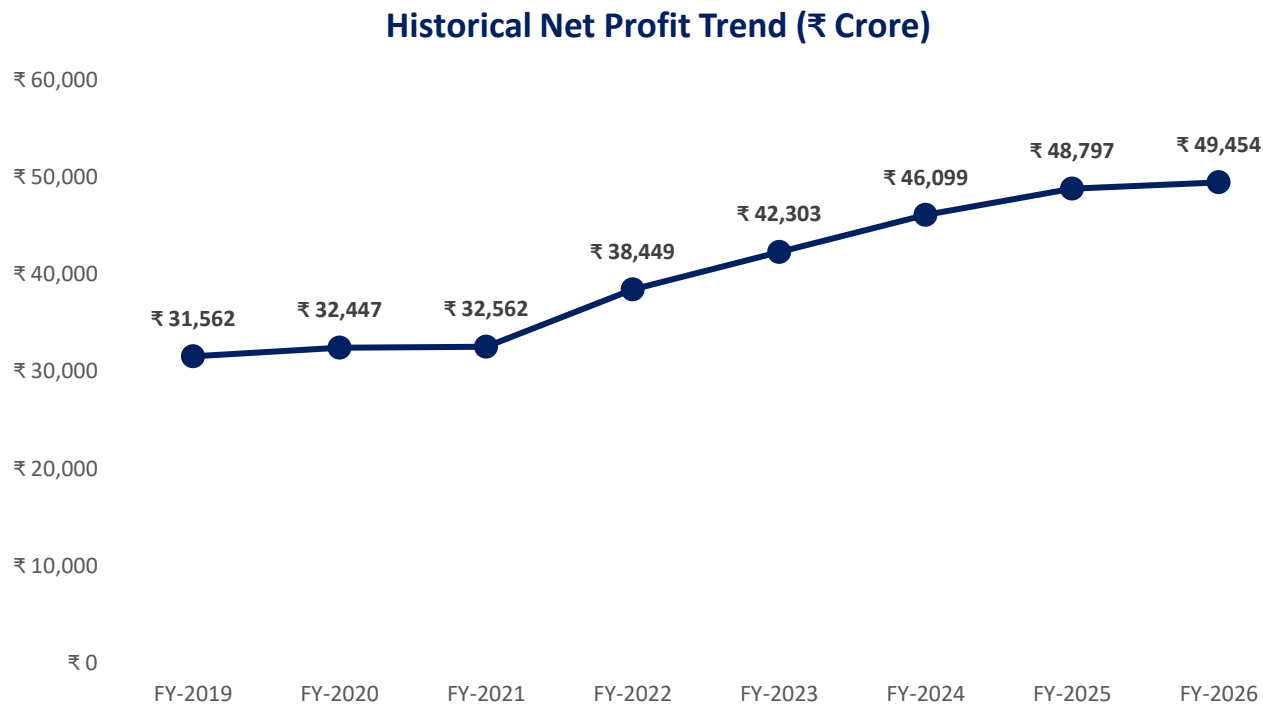
Tata Consultancy Services (TCS) maintained **strong profitability** throughout the historical analysis period, reflecting its efficient cost management, operational excellence, and resilient business model. The company consistently generated healthy earnings despite changes in global economic conditions and increasing investments in technology and talent.

The **EBITDA margin** remained stable at approximately **26–27%**, while the **EBIT margin** was consistently around **24–25%**, demonstrating the company's ability to maintain operational efficiency and control operating expenses. Furthermore, **Net Profit** increased steadily from **₹31,562 crore in FY2019** to **₹49,454 crore in FY2026**, highlighting TCS's strong earnings growth over the analysis period.

Although the **Net Profit Margin** declined marginally from **21.55% in FY2019** to **18.52% in FY2026**, the reduction was primarily attributable to higher employee costs, wage revisions, and continued investments in business expansion and digital capabilities, rather than any deterioration in the company's core business operations.

Overall, the historical profitability trend indicates that TCS has consistently delivered sustainable earnings, maintained healthy operating margins, and strengthened shareholder value through disciplined financial management.





4.3 Balance Sheet Analysis

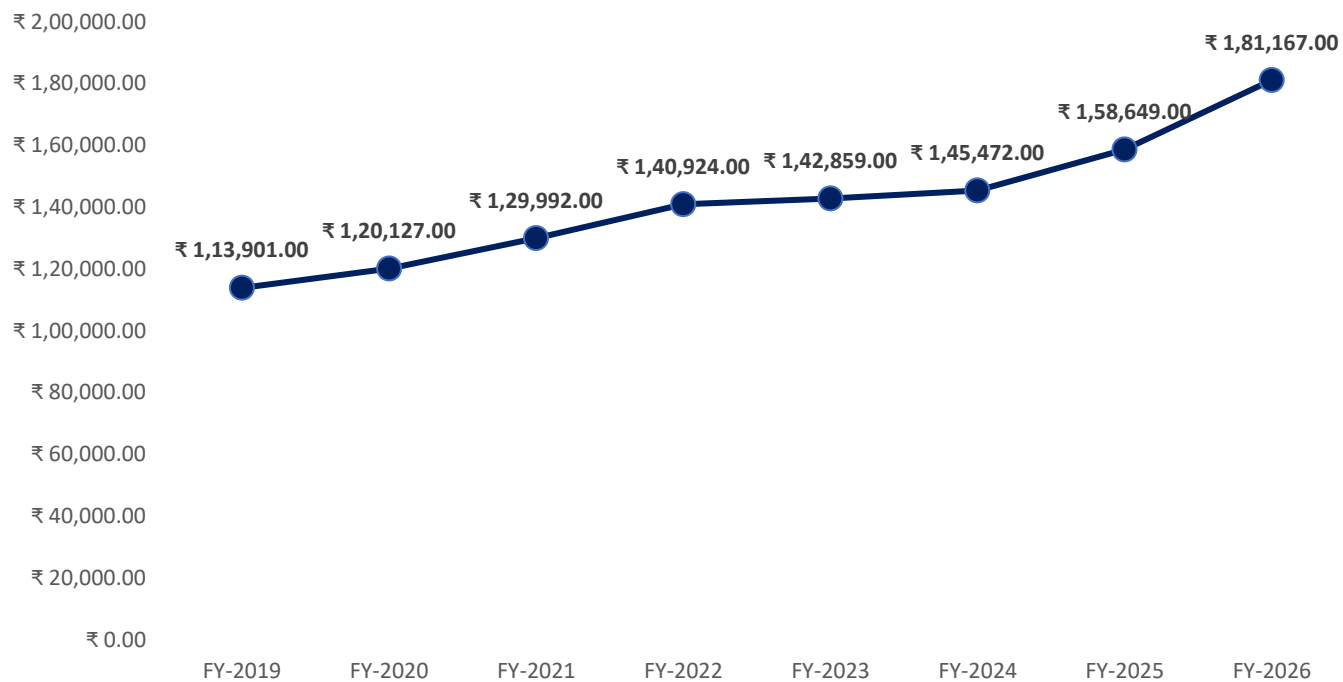
The Balance Sheet analysis indicates that Tata Consultancy Services (TCS) maintained a **strong and financially stable position** throughout the historical analysis period. **Total Assets** increased from **₹1,13,901 crore in FY2019** to **₹1,81,167 crore in FY2026**, reflecting the company's continued investment in business expansion, technology infrastructure, and operational capabilities.

The company's **Shareholders' Equity** also increased steadily from approximately **₹90,063 crore in FY2019** to **₹1,07,253 crore in FY2026**, primarily driven by consistent profitability and retained earnings. This steady growth in equity demonstrates TCS's ability to generate sustainable shareholder value over time.

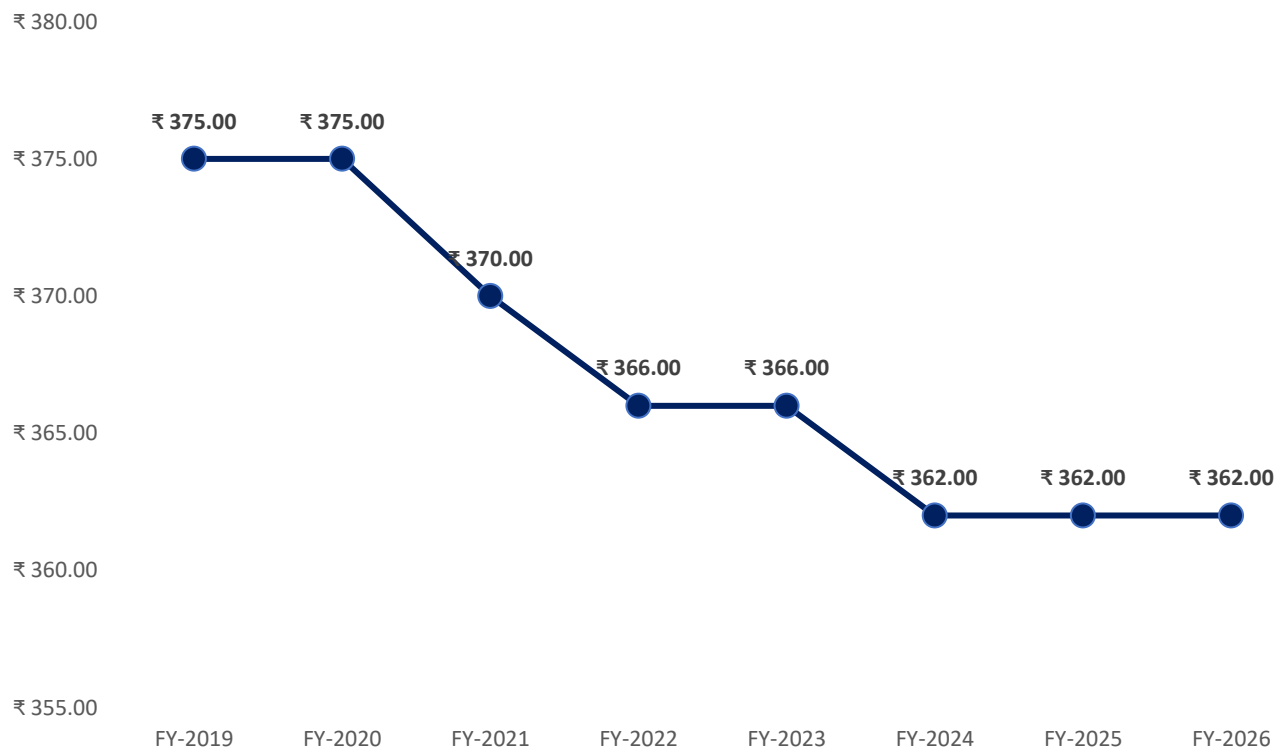
Although **Borrowings** increased from **₹62 crore** to **₹11,283 crore** during the analysis period, debt remained at a manageable level relative to the company's overall asset base and strong cash generation capacity. The balance sheet continues to reflect a conservative capital structure with limited financial risk.

Overall, TCS maintained a healthy balance sheet characterized by a strong asset base, growing shareholders' equity, and prudent financial management. These factors provide the company with significant financial flexibility to support future investments and long-term business growth.

Historical Total Assets Trend (FY2019–FY2026)



Historical Shareholders' Equity Trend (FY2019–FY2026)



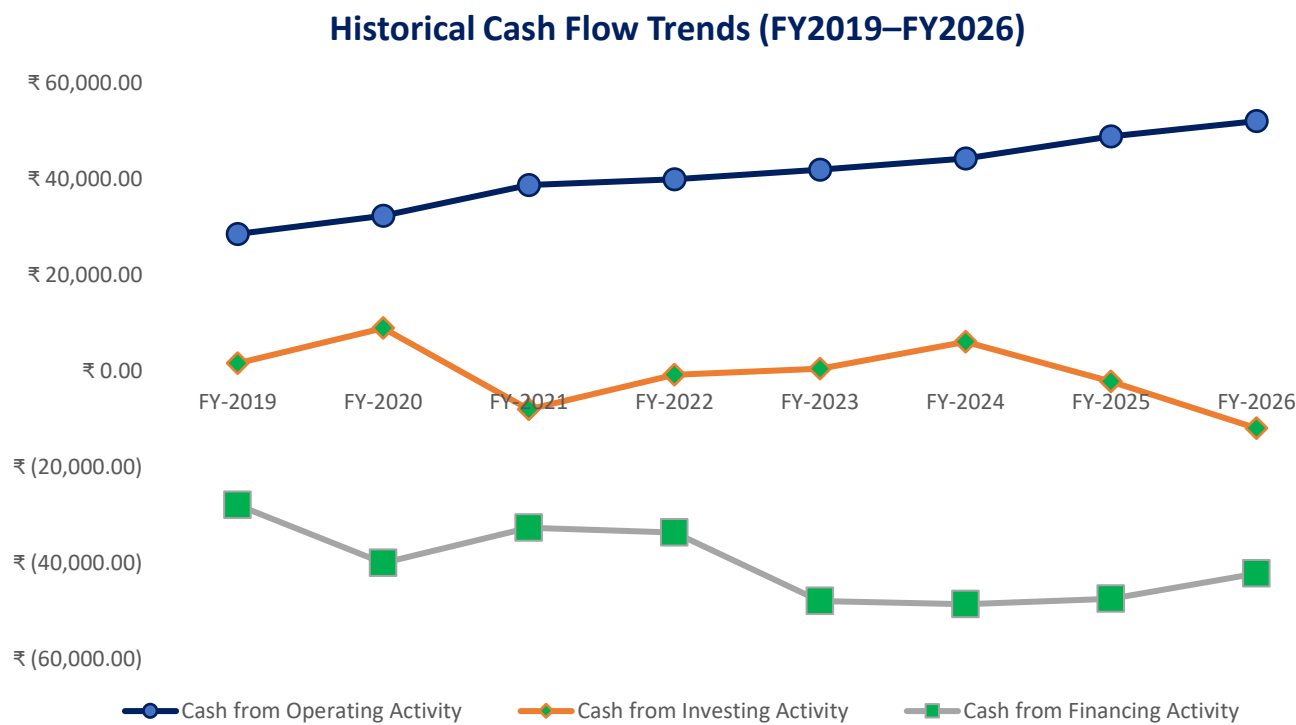
4.4 Cash Flow Analysis

The Cash Flow Statement analysis indicates that Tata Consultancy Services (TCS) has consistently generated **strong cash flows from operating activities**, demonstrating the company's ability to convert its earnings into cash. **Cash Flow from Operating Activities** increased from ₹28,593 crore in FY2019 to ₹52,094 crore in FY2026, reflecting steady business growth, strong profitability, and efficient working capital management.

Cash Flow from Investing Activities fluctuated throughout the analysis period due to capital expenditure, investments in technology infrastructure, acquisitions, and other long-term strategic investments. The negative cash flows in several years indicate that the company continued to invest in future growth opportunities and operational capabilities.

Cash Flow from Financing Activities remained negative throughout the historical period, primarily due to dividend payments, share buybacks, and debt-related cash outflows. This reflects TCS's strong commitment to returning value to shareholders while maintaining a disciplined capital allocation strategy.

Although **Net Cash Flow** varied across the analysis period, the company's consistently strong operating cash generation ensured adequate liquidity and financial flexibility. Overall, the historical cash flow performance demonstrates TCS's robust cash-generating ability, prudent financial management, and capacity to support long-term business expansion.



Net Cash Flow Trend (FY2019–FY2026)



4.5 Financial Ratio Analysis

The historical ratio analysis indicates that Tata Consultancy Services (TCS) maintained **strong financial performance and operational efficiency** throughout the analysis period. The company's **average revenue growth** was **9.08%**, while **EBITDA Growth** and **EBIT Growth** averaged **9.80%** and **8.69%**, respectively. Although growth rates moderated in the later years, TCS continued to deliver consistent earnings growth, reflecting the maturity and resilience of its business model.

The company maintained **excellent profitability margins** during the historical period. The **Gross Margin** remained consistently high with an average of **98.39%**, while the **EBITDA Margin** averaged **27.05%** and the **EBIT Margin** averaged **24.83%**. Although the **Net Profit Margin** declined gradually from **21.55% in FY2019** to **18.52% in FY2026**, the average margin of **19.44%** highlights TCS's strong ability to generate sustainable profits.

The **return ratios** further demonstrate the company's efficient utilization of capital. **Return on Capital Employed (ROCE)** averaged **52.63%**, **Return on Equity (ROE)** averaged **44.96%**, and **Return on Assets (ROA)** averaged **14.86%**, indicating effective

deployment of shareholder funds and operating assets. These consistently high returns reflect TCS's strong competitive position and disciplined financial management.

The company's **efficiency ratios** also remained healthy. The **Debtor Turnover Ratio** averaged **4.64 times**, indicating effective receivables management, while the **Fixed Asset Turnover Ratio** averaged **9.60 times**, demonstrating efficient utilization of fixed assets. Additionally, the **Cash Conversion Cycle (CCC)** remained relatively stable at an average of **3.09 days**, highlighting strong working capital management and efficient cash conversion.

Furthermore, **cash flow ratios** remained robust throughout the historical period. The **Cash Flow from Operations to Sales** ratio averaged **20.11%**, while the **Cash Flow from Operations to Total Assets** averaged **29.23%**, reflecting the company's strong ability to generate operating cash flows from its business activities.

Overall, the historical ratio analysis confirms that TCS maintained **strong profitability, high returns, efficient asset utilization, and healthy cash flow generation**, reinforcing its financial strength and long-term growth potential.

Ratio Analysis-TATA CONSULTANCY SERVICES LTD										
Years	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26	Trand Lin	Average Median
SalesGrowth	-	7.16%	4.61%	16.80%	17.58%	6.85%	5.99%	4.58%		9.08% 6.85%
EBITDA Growth		6.59%	10.54%	13.99%	11.69%	8.50%	4.84%	7.40%		9.08% 8.50%
EBIT Growth		3.02%	10.11%	14.06%	11.94%	9.36%	4.81%	7.52%		8.69% 9.36%
Net Profit Growth		2.80%	0.35%	18.08%	10.02%	8.97%	5.85%	1.35%		6.78% 5.85%
Dividend Growth		143.33%	-47.90%	13.16%	167.44%	-36.50%	72.60%	-12.70%		42.78% 13.16%
Gross Margin	98.45%	98.79%	99.11%	99.39%	99.17%	98.46%	95.44%	98.35%		98.39% 98.79%
EBITDA Margin	26.97%	26.83%	28.35%	27.67%	26.28%	26.69%	26.40%	27.11%		27.05% 26.83%
EBIT Margin	25.57%	24.58%	25.88%	25.27%	24.06%	24.62%	24.35%	25.03%		24.83% 24.62%
EBT Margin	28.38%	26.92%	26.65%	26.95%	25.24%	25.74%	25.59%	24.53%		25.95% 25.74%
Net Profit Margin	21.55%	20.67%	19.83%	20.05%	18.76%	19.14%	19.11%	18.52%		19.44% 19.14%
SalesExpenses%/Sales	71.48%	71.96%	70.76%	71.72%	72.88%	71.77%	69.04%	71.24%		71.34% 71.72%
Depreciation%/Sales	1.40%	2.25%	2.48%	2.40%	2.23%	2.07%	2.05%	2.08%		2.22% 2.23%
OperatingIncome%/Sales	28.38%	26.92%	26.65%	26.95%	25.24%	25.74%	25.59%	24.53%		25.95% 25.74%
Return on Capital Employed	41.84%	41.80%	45.08%	49.97%	55.28%	60.21%	59.69%	56.39%		52.63% 55.28%
Retained Earnings%	64.36%	15.63%	56.82%	59.07%	0.50%	42.68%	6.53%	19.48%		28.67% 19.48%
Return on Equity%	35.29%	38.57%	37.67%	43.13%	46.78%	50.94%	51.50%	46.12%		44.96% 46.12%
Self Sustained Growth Rate	22.71%	6.03%	21.41%	25.48%	0.24%	21.74%	3.36%	8.98%		12.46% 8.98%
Interest Coverage Ratio	189.14X	41.75X	66.69X	61.80X	69.62X	76.24X	78.10X	54.47X		64.10X 66.69X
Debtor Turnover Ratio	5.36X	5.14X	5.46X	4.59X	4.51X	4.50X	4.32X	3.94X		4.64X 4.51X
Creditor Turnover Ratio	6.00X	5.64X	4.59X	4.36X	5.04X	5.13X	4.68X	4.26X		4.82X 4.68X
Inventory Turnover	14646.30X	31389.80X	20522.13X	9587.70X	8052.07X	8603.32X	12158.29X	9207.62X		14217.27X 9587.70X
Fixed Asset Turnover	11.92X	7.50X	7.81X	9.00X	10.99X	12.29X	11.08X	8.52X		9.60X 9.00X
Capital Turnover Ratio	1.64X	1.87X	1.90X	2.15X	2.49X	2.66X	2.69X	2.49X		2.32X 2.49X
Debtor Days	68.15X	71.01X	66.87X	79.58X	80.87X	81.18X	84.41X	92.56X		79.50X 80.87X
Payable Days	60.79X	64.71X	79.51X	83.69X	72.44X	71.16X	77.91X	85.63X		76.44X 77.91X
Inventory Days	0.02X	0.01X	0.02X	0.04X	0.05X	0.04X	0.03X	0.04X		0.03X 0.04X
Cash Conversion Cycle	7.38X	6.30X	-12.62X	-4.07X	8.48X	10.07X	6.53X	6.97X		3.09X 6.53X
CFD/Sales	19.52%	20.62%	23.63%	20.83%	18.61%	18.41%	19.16%	19.51%		20.11% 19.51%
CFD/Total Assets	25.10%	26.95%	29.85%	28.35%	29.38%	30.48%	30.83%	28.75%		29.23% 29.38%
CFD/Total Debt	46117.74%	396.00%	497.78%	510.99%	545.85%	552.77%	520.74%	461.70%		497.98% 510.99%

4.6 Historical Performance Summary

The historical financial analysis demonstrates that Tata Consultancy Services (TCS) has consistently delivered strong financial performance over the FY2019–FY2026 period. The company achieved steady revenue growth, with revenue increasing from **₹1,46,463 crore** in FY2019 to **₹2,67,021 crore** in FY2026, supported by strong demand for digital transformation, cloud computing, and IT consulting services.

TCS maintained healthy profitability throughout the analysis period, with **EBITDA margins averaging 27.05%**, **EBIT margins averaging 24.83%**, and a **Net Profit Margin averaging 19.44%**. Although profit margins moderated slightly in recent years due to higher employee costs and continued investments in digital capabilities, the company continued to generate strong and sustainable earnings.

The balance sheet remained financially strong, with **Total Assets** increasing from **₹1,13,901 crore** in FY2019 to **₹1,81,167 crore** in FY2026, while **Shareholders' Equity** grew steadily through retained earnings. In addition, TCS generated robust operating cash flows, with **Cash Flow from Operating Activities** increasing from **₹28,593 crore** to **₹52,094 crore**, reflecting the company's strong cash-generating capability.

Furthermore, the ratio analysis highlighted TCS's operational efficiency and financial strength. The company recorded an average **Return on Equity (ROE) of 44.96%**, **Return on Capital Employed (ROCE) of 52.63%**, and **Return on Assets (ROA) of 14.86%**, demonstrating efficient utilization of capital and consistent value creation for shareholders.

Overall, the historical financial performance confirms that TCS possesses a resilient business model, strong financial fundamentals, efficient capital management, and sustainable long-term growth potential. These historical trends provide a reliable foundation for forecasting future financial performance and conducting the Discounted Cash Flow (DCF) valuation presented in the subsequent sections.

5. Forecast Assumptions

5.1 Forecast Assumptions

The financial projections for Tata Consultancy Services (TCS) were developed using a historical trend-based forecasting approach. The historical financial performance from **FY2019 to FY2026** was analyzed to identify long-term growth patterns in revenue, profitability, and earnings. Based on these trends, the company's financial statements were projected for the period **FY2027 to FY2031**.

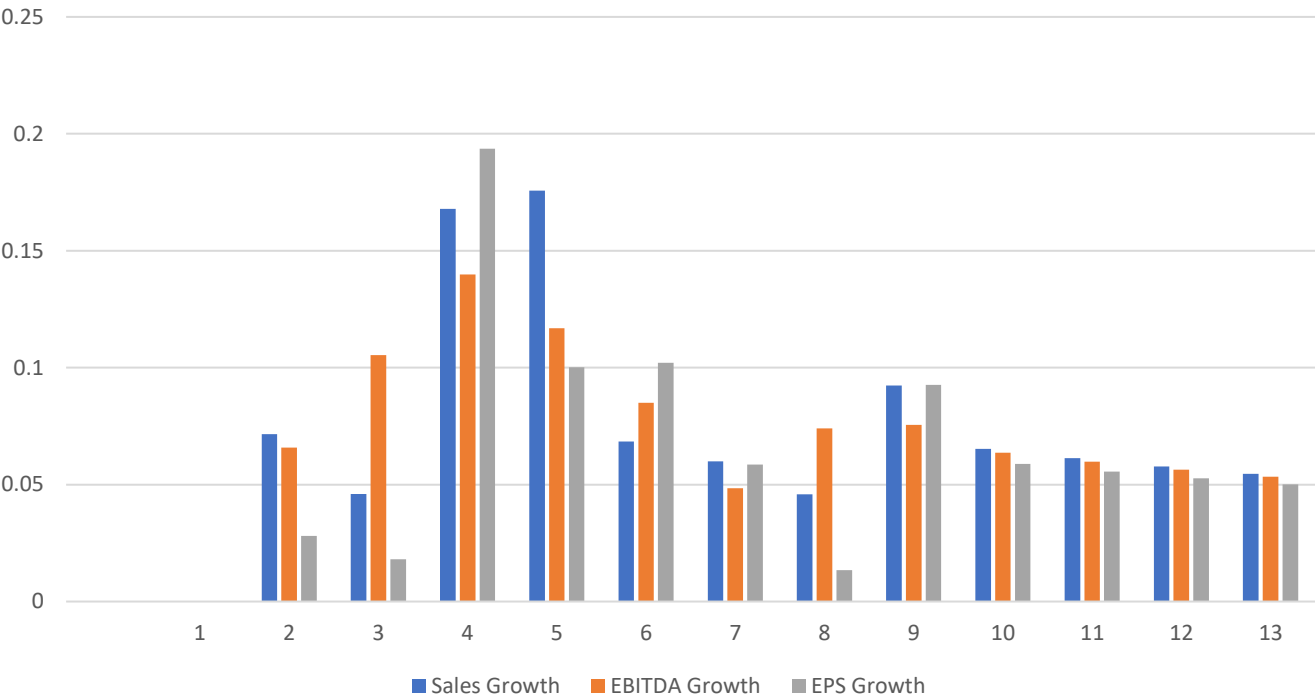
Revenue was forecast by considering historical sales growth, business expansion, industry outlook, and expected demand for digital transformation services. **EBITDA** was projected based on historical operating performance and expected margin stability, while **Earnings Per Share (EPS)** was estimated using projected net income and the company's share capital. Other financial variables, including depreciation, capital expenditure, working capital, and taxation, were forecast using historical relationships and management assumptions to maintain consistency throughout the financial model.

The projected financial statements provide the basis for estimating **Free Cash Flow to the Firm (FCFF)**, which is subsequently used in the Discounted Cash Flow (DCF) valuation to estimate the intrinsic value of TCS.

5.2 Key Forecast Assumptions

Assumption	Forecast Basis
Revenue Growth	Based on historical sales growth trend (FY2019–FY2026) and future industry outlook.
EBITDA	Forecast using historical EBITDA growth and stable operating margins.
EPS	Projected based on forecasted earnings and existing share capital.
Tax Rate	Assumed at 25% throughout the forecast period.
Depreciation	Forecast as a percentage of revenue based on historical trends.
Capital Expenditure	Estimated using historical investment patterns.
Working Capital	Projected using historical working capital ratios.
WACC	Calculated using Cost of Equity, Cost of Debt, Capital Structure, and Tax Rate.
Terminal Growth Rate	Based on long-term sustainable growth assumptions used in the DCF model.

Historical and Forecast Financial Performance (FY2019–FY2031)



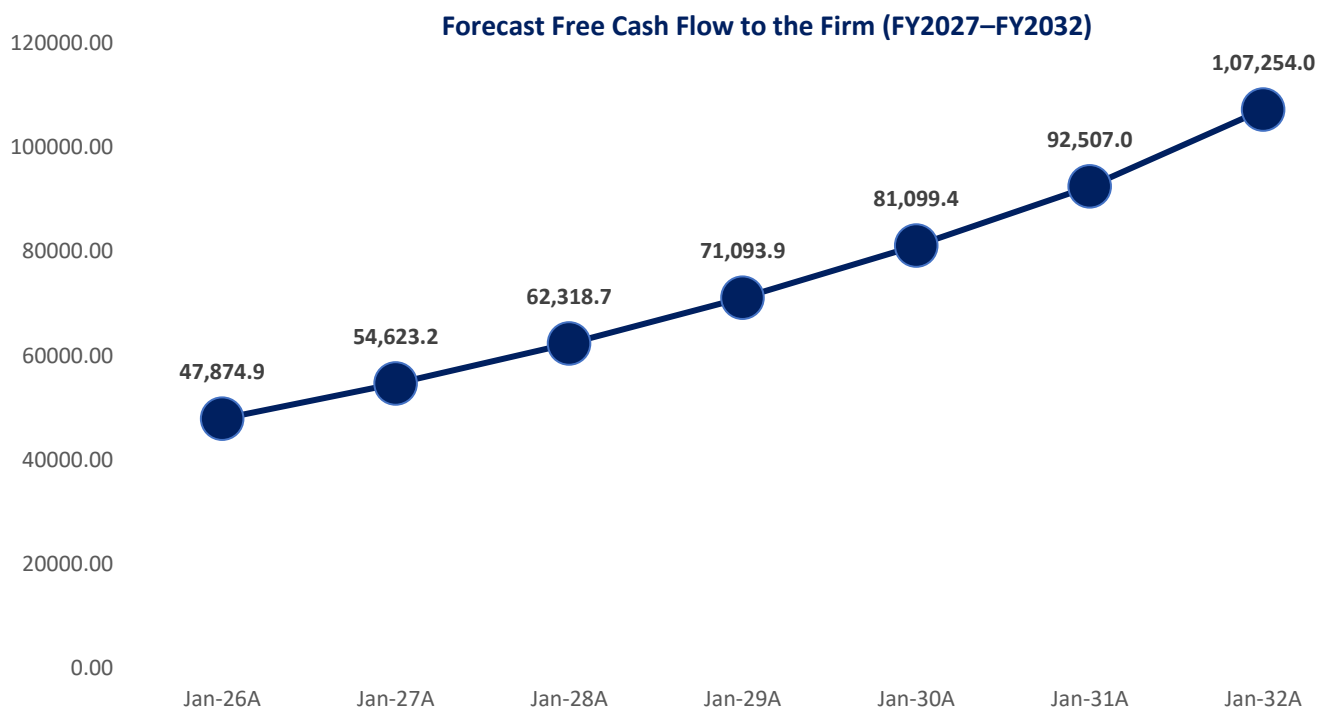
6. Discounted Cash Flow (DCF) Valuation

6.1 Introduction

Discounted Cash Flow (DCF) valuation is an intrinsic valuation method used to estimate the fair value of a company by discounting its expected future free cash flows to their present value. In this report, the valuation of Tata Consultancy Services (TCS) has been performed using the Free Cash Flow to the Firm (FCFF) approach. The projected cash flows for FY2027–FY2032 were discounted using a Weighted Average Cost of Capital (WACC) of 13.28%, while a Terminal Growth Rate of 5.00% was assumed to estimate the company's long-term value.

6.2 Free Cash Flow to the Firm (FCFF) Analysis

The projected **Free Cash Flow to the Firm (FCFF)** remained strong throughout the forecast period, increasing from ₹54,624 crore in FY2027 to ₹1,07,254 crore in FY2032. The steady growth in FCFF was driven by increasing operating earnings, stable profitability, and disciplined reinvestment assumptions. This indicates that TCS is expected to continue generating healthy operating cash flows, supporting sustainable long-term growth.



6.3 Weighted Average Cost of Capital (WACC) Analysis

The Weighted Average Cost of Capital (WACC) was estimated at 13.28%, representing the company's blended cost of equity and cost of debt after considering the capital structure and corporate tax rate. WACC serves as the discount rate in the DCF model and reflects the minimum return expected by investors.

Assumption	Value
Expected Growth	15.00%
Terminal Growth	5.00%
WACC	13.28%

6.4 Terminal Value Analysis

A Terminal Growth Rate of 5.00% was assumed to estimate the value of cash flows beyond the explicit forecast period. Based on this assumption and the calculated WACC, the Terminal Value was estimated at ₹13,59,941 crore. The terminal value represents the largest component of the company's enterprise value, highlighting the importance of TCS's long-term cash-generating ability.

6.5 Enterprise & Equity Valuation Analysis

The **Present Value of FCFF** was estimated at **₹3,14,277 crore**, while the **Present Value of Terminal Value** amounted to **₹6,84,946 crore**. Together, these resulted in a **Value of Operating Assets** of **₹9,99,222 crore**.

After adjusting for **Cash (₹12,908 crore)** and **Debt (₹11,283 crore)**, the total **Equity Value** was calculated at **₹10,00,847 crore**.

6.6 Intrinsic Value Per Share Analysis

Based on the DCF valuation, the **Intrinsic Value Per Share** of Tata Consultancy Services was estimated at **₹2,766.23**, compared with the current market price of **₹2,365.60**. This implies that the stock is trading at approximately **1.17× below its intrinsic value**, indicating that the shares appear **undervalued** under the assumptions used in this financial model. The valuation suggests a potential upside for long-term investors if the projected cash flows and growth assumptions are realized.

7. Comparable Company Analysis

7.1 Introduction

Comparable Company Analysis (CCA) is a relative valuation technique used to estimate a company's value by comparing it with similar companies operating in the same industry. This approach evaluates valuation multiples such as Enterprise Value to Revenue (EV/Revenue), Enterprise Value to EBITDA (EV/EBITDA), and Price to Earnings (P/E). In this report, Tata Consultancy Services (TCS) has been compared with leading Indian IT service companies, including Infosys, HCL Technologies, Wipro, and Tech Mahindra, to assess whether its current market valuation is reasonable relative to its peers.

7.2 Comparable Company Analysis

The comparable company analysis indicates that TCS continues to maintain a strong valuation relative to its industry peers. Based on the peer group, the average EV/Revenue multiple was 2.47×, the average EV/EBITDA multiple was 23.33×, and the average P/E multiple was 19.83×.

Applying these valuation multiples to TCS resulted in an implied share value of ₹322.68 per share using the EV/Revenue approach and ₹7,903.20 per share using the EV/EBITDA approach. Based on the P/E multiple, the implied value was approximately ₹2,365.60 per share, which is close to the current market price.

The analysis suggests that TCS appears undervalued under the EV/Revenue and EV/EBITDA approaches, while the P/E-based valuation indicates that the company is fairly valued relative to its peers. Overall, the comparable valuation supports the view that TCS maintains strong market fundamentals and continues to command premium valuation multiples due to its consistent profitability, strong cash generation, and market leadership in the IT services industry.

Relative Valuation of -TATA CONSULTANCY SERVICES LTD

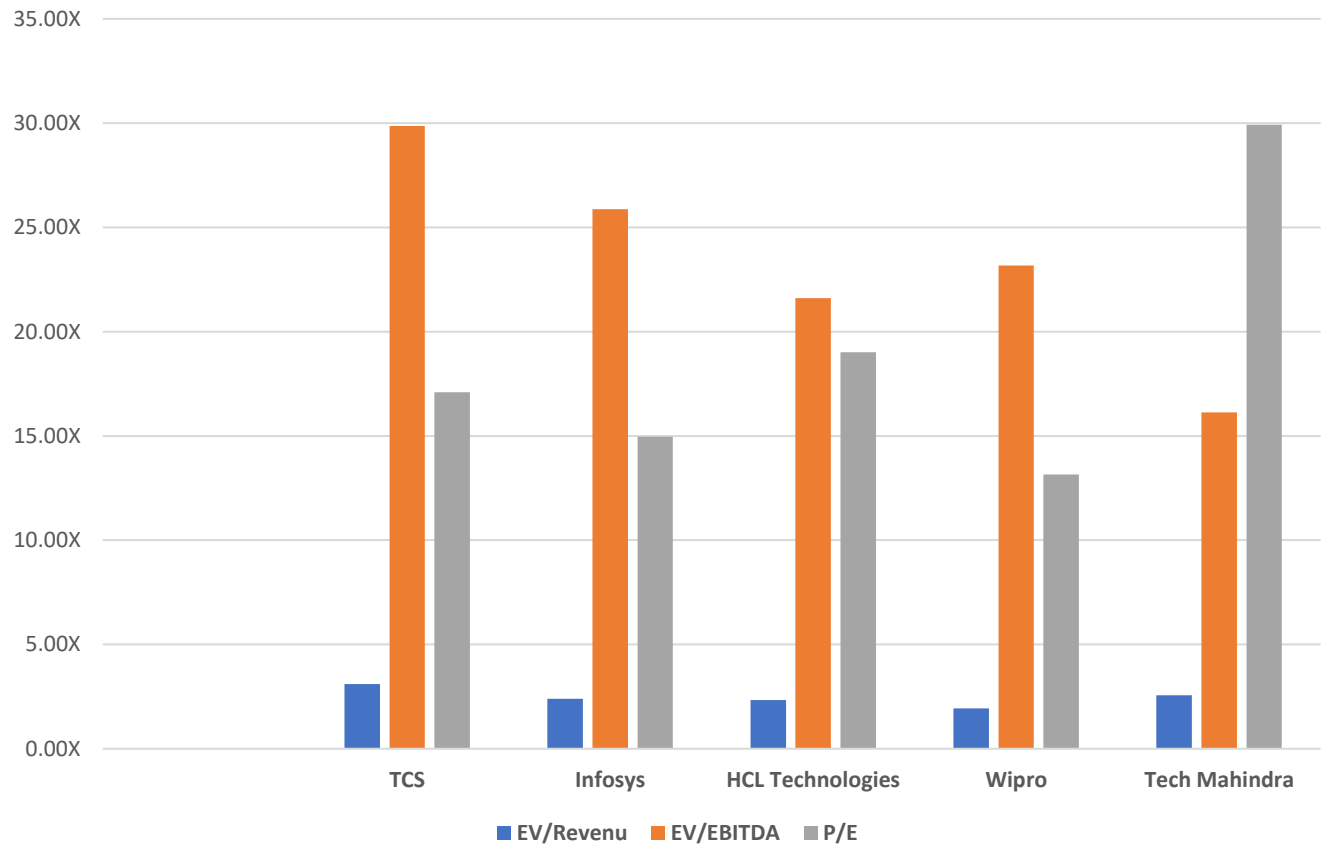
Amount In Crores

Comparable Company Valuation

Comparable Company Valuation													
		Market Data					Financial			Valuation			
Companys	Ticker	Shre P	Shres	Out Stz	Equity V	Net Del	Enterpris v	Revent	EBITD	Net inc	EV/Revenu	EV/EBITD	P/E
TCS		2365.6		361.81	855897.74	-1625	854272.74	275859	28607	50055	3.10X	29.86X	17.10X
Infosys		1087.1		405.76	441101.70	-13025	428076.70	178650	16543	29474	2.40X	25.88X	14.97X
HCL Technologies		1221.3		271.37	331424.18	-18210	313214.18	134374	14499	17434	2.33X	21.60X	19.01X
Wipro		176.38		990.41	174688.52	9735.5	184424.02	94968	7958.3	13285	1.94X	23.17X	13.15X
Tech Mahindra		1576.4		98.01	154502.96	-2919.2	151583.76	59176	9397.2	5163	2.56X	16.13X	29.93X
											2.56X	25.88X	29.93X
High											2.56X	25.88X	29.93X
75th Percentile											2.437524061	23.8494618	21.73892439
Average											2.47X	23.33X	18.83X
Median											2.40X	23.17X	17.10X
25 Percentile											1.941959563	16.1307979	13.14900799
Low											1.94X	16.13X	13.15X
Tcs Comparable Valuation													
											EV/Revenu	EV/EBITD	P/E
Implied Enterprise Value											115124.72	1234.43933	854272.74
Net Debt											-1625	-1625	-1625
Implied Market Value											116749.72	2859.44	855897.74
Shares Outstanding											361.81	361.81	361.81
Implied Value per Share											322.68	7.9032	2365.60

Undervalued Undrvalue Undrvalue

Comparison of Valuation Multiples – TCS vs Peer Companies



8. Sensitivity Analysis

8.1 Introduction

Sensitivity Analysis is an important component of the Discounted Cash Flow (DCF) valuation process. It evaluates how changes in key valuation assumptions, particularly the Weighted Average Cost of Capital (WACC) and the Terminal Growth Rate (TGR), affect the intrinsic value of the company. Since valuation outcomes are highly sensitive to these assumptions, the analysis provides a range of possible values rather than relying on a single estimate.

8.2 Sensitivity Analysis

The sensitivity analysis was performed by varying the **WACC** between **10.00%** and **15.00%** and the **Terminal Growth Rate** between **3.00%** and **8.00%**. The results indicate that the intrinsic value of TCS changes significantly with variations in these assumptions.

Under the **base-case assumptions** of **WACC = 13.28%** and **Terminal Growth Rate = 5.00%**, the estimated intrinsic value per share is **₹2,766.23**. When the discount rate decreases and the terminal growth rate increases, the intrinsic value rises substantially. Conversely, a higher WACC combined with a lower terminal growth rate results in a lower valuation.

For example, the valuation increases to approximately **₹8,711.56 per share** under the optimistic scenario (WACC **10.00%**, Terminal Growth **8.00%**), while it decreases to approximately **₹2,140.81 per share** under the conservative scenario (WACC **15.00%**, Terminal Growth **3.00%**). These results demonstrate that the valuation is most sensitive to changes in the discount rate and long-term growth assumptions.

Overall, the sensitivity analysis confirms that although the estimated intrinsic value varies under different scenarios, TCS continues to exhibit strong long-term value creation potential under reasonable valuation assumptions.

Sensitivity Analysis

₹ 2,766.23	10.00%	12.00%	13.28%	15.00%
3.00%	3,112.67	2,614.99	2,397.96	2,179.52
5.00%	4,008.49	3,112.67	2,766.23	2,440.81
7.00%	6,098.75	4,008.49	3,369.04	2,832.73
8.00%	8,711.56	4,792.34	3,841.66	3,112.67

9. Investment Recommendation

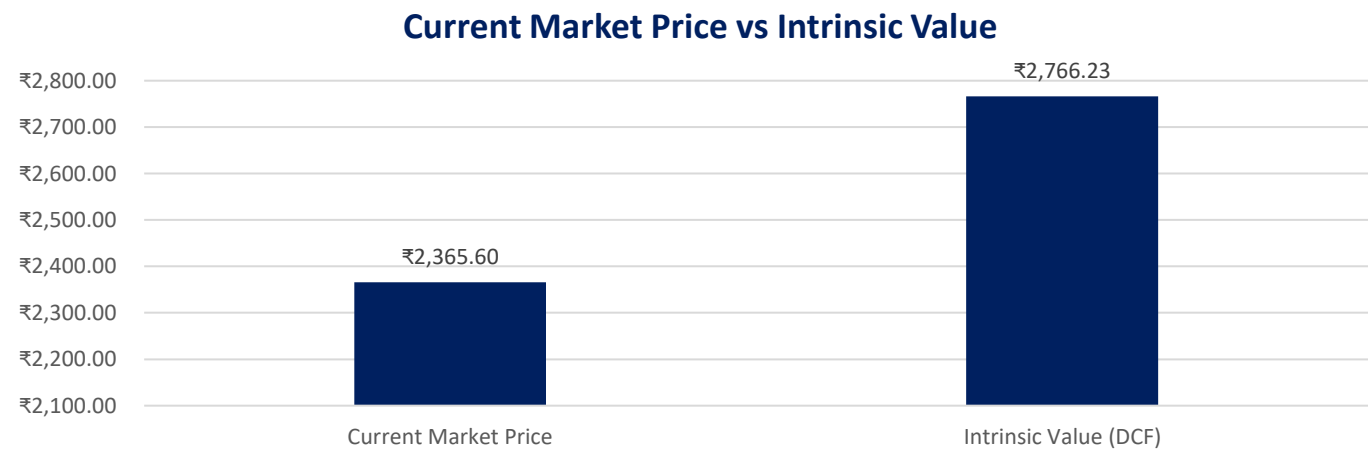
9.1 Investment Recommendation

Based on the comprehensive financial analysis, Discounted Cash Flow (DCF) valuation, and Comparable Company Analysis, Tata Consultancy Services Limited (TCS) demonstrates strong financial fundamentals and attractive long-term growth potential.

The DCF valuation estimates an intrinsic value of ₹2,766.23 per share, compared to the current market price of ₹2,365.60 per share. This indicates a potential upside of approximately 16.9%, suggesting that the stock is undervalued under the assumptions used in this financial model.

Recommendation Summary

Particulars	Value
Current Market Price	₹2,365.60
Intrinsic Value (DCF)	₹2,766.23
Potential Upside	16.94%
DCF Valuation	Undervalued
Recommendation	BUY



10. Risks

10.1 Investment Risks

Although Tata Consultancy Services (TCS) demonstrates strong financial performance and long-term growth potential, several risks could affect the company's future earnings, cash flows, and valuation. Investors should consider these factors before making investment decisions.

1. Global Economic Slowdown

A slowdown in global economic activity may reduce corporate IT spending, leading to lower demand for technology consulting, digital transformation, and outsourcing services. This could adversely impact TCS's revenue growth and profitability.

2. Foreign Exchange (Currency) Risk

A significant portion of TCS's revenue is generated from international markets. Therefore, fluctuations in foreign exchange rates may affect revenue, operating margins, and overall financial performance.

3. Intense Industry Competition

TCS operates in a highly competitive industry alongside companies such as Infosys, HCL Technologies, Wipro, Tech Mahindra, Accenture, and Cognizant. Increased competition may result in pricing pressure, reduced margins, and slower client acquisition.

4. Technology Disruption

Rapid advancements in technologies such as Artificial Intelligence (AI), Cloud Computing, Automation, and Cybersecurity require continuous investment in innovation. Failure to adapt to emerging technologies may impact the company's competitive position.

5. Talent Acquisition and Employee Attrition

The IT services industry is highly dependent on skilled professionals. Higher employee attrition, rising salary costs, or difficulties in attracting and retaining talent may increase operating expenses and affect service delivery.

6. Regulatory and Geopolitical Risk

Changes in government regulations, taxation policies, visa restrictions, trade policies, or geopolitical tensions in key international markets could affect TCS's global business operations and financial performance.

7. Valuation Risk

The DCF valuation presented in this report is based on assumptions regarding revenue growth, operating margins, WACC, and Terminal Growth Rate. Changes in these assumptions may significantly impact the estimated intrinsic value of the company, as demonstrated in the Sensitivity Analysis.

11. Conclusion

Conclusion

This financial modeling report comprehensively evaluated Tata Consultancy Services Limited (TCS) using historical financial statement analysis, financial forecasting, Discounted Cash Flow (DCF) valuation, and Comparable Company Analysis to estimate the company's intrinsic value and assess its long-term investment potential.

The historical analysis demonstrated that TCS has consistently achieved strong revenue growth, healthy profitability, robust operating cash flows, and efficient capital management. The company maintained a solid financial position with a strong balance sheet, high return ratios, and sustainable cash-generating capabilities throughout the analysis period.

Based on the financial forecasts, TCS is expected to continue delivering stable business growth and healthy free cash flows over the forecast period. Using the DCF valuation approach, the intrinsic value per share was estimated at ₹2,766.23, compared to the current market price of ₹2,365.60, indicating that the stock appears undervalued under the assumptions applied in this financial model. The Comparable Company Analysis further supports the company's strong market position and competitive valuation within the Indian IT services industry.

Overall, TCS demonstrates strong financial fundamentals, resilient business operations, consistent profitability, and sustainable long-term growth potential. Based on the valuation results and comprehensive financial analysis, TCS is considered an attractive long-term investment opportunity, subject to the assumptions and risks discussed in this report.

12. References

- **Tata Consultancy Services Limited. Annual Reports (FY2019–FY2026).**
- **Tata Consultancy Services Limited. Investor Presentations.**
- **National Stock Exchange of India (NSE).**
- **BSE Limited.**
- **Screener.in – Financial Statements and Historical Financial Data.**
- **Moneycontrol – Company Financial Information and Market Data.**
- **Yahoo Finance – Historical Share Price Data.**
- **TradingView – Historical Market Data (if used for stock price analysis).**
- **Author's Financial Model (Microsoft Excel).**

13. Disclaimer

This financial modeling and valuation report has been prepared solely for educational, academic, and portfolio purposes. The analysis, financial projections, valuation assumptions, and investment recommendation presented in this report are based on historical financial information, publicly available data, and reasonable assumptions developed by the author.

The Discounted Cash Flow (DCF) valuation, Comparable Company Analysis, and all financial forecasts are subject to uncertainty and depend on assumptions regarding future business performance, market conditions, interest rates, and economic factors. Therefore, actual results may differ materially from the estimates presented in this report.

This report does not constitute investment, financial, legal, or tax advice, nor should it be interpreted as a recommendation to buy, sell, or hold any security. Investors should conduct their own independent research and consult qualified financial advisors before making any investment decisions.

While every effort has been made to ensure the accuracy and reliability of the information presented, the author makes no warranties or guarantees regarding the completeness, accuracy, or suitability of the data and shall not be held responsible for any decisions made based on this report.